

INTERNATIONAL STANDARD

ISO
10003

Second edition
2018-07-30

Quality management — Customer satisfaction — Guidelines for dispute resolution external to organizations

*Management de la qualité — Satisfaction du client — Lignes
directrices relatives à la résolution externe de conflits aux organismes*



Reference number
ISO 10003:2018(E)

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Foreword

ISO (the International Organization for Standardization) is a worldwide federation of national standards bodies (ISO member bodies). The work of preparing International Standards is normally carried out through ISO technical committees. Each member body interested in a subject for which a technical committee has been established has the right to be represented on that committee. International organizations, governmental and non-governmental, in liaison with ISO, also take part in the work. ISO collaborates closely with the International Electrotechnical Commission (IEC) on all matters of electrotechnical standardization.

The procedures used to develop this document and those intended for its further maintenance are described in the ISO/IEC Directives, Part 1. In particular the different approval criteria needed for the different types of ISO documents should be noted. This document was drafted in accordance with the editorial rules of the ISO/IEC Directives, Part 2 (see www.iso.org/directives).

Attention is drawn to the possibility that some of the elements of this document may be the subject of patent rights. ISO shall not be held responsible for identifying any or all such patent rights. Details of any patent rights identified during the development of the document will be in the Introduction and/or on the ISO list of patent declarations received (see www.iso.org/patents).

Any trade name used in this document is information given for the convenience of users and does not constitute an endorsement.

For an explanation on the voluntary nature of standards, the meaning of ISO specific terms and expressions related to conformity assessment, as well as information about ISO's adherence to the World Trade Organization (WTO) principles in the Technical Barriers to Trade (TBT) see the following URL: www.iso.org/iso/foreword.html.

This document was prepared by Technical Committee ISO/TC 176, *Quality management and quality assurance*, Subcommittee SC 3, *Supporting technologies*.

This second edition cancels and replaces the first edition ([ISO 10003:2007](http://www.iso.org/iso/10003:2007)), which has been technically revised.

The main changes compared with the previous edition are as follows:

- alignment with ISO 9000:2015;
- alignment with ISO 9001:2015;
- improved alignment with [ISO 10001](http://www.iso.org/iso/10001), [ISO 10002](http://www.iso.org/iso/10002) and [ISO 10004](http://www.iso.org/iso/10004).

Introduction

0.1 General

This document provides guidance for organizations to plan, design, develop, operate, maintain and improve effective and efficient external dispute resolution for product- and service-related complaints. Dispute resolution gives an avenue of redress when organizations do not remedy a complaint internally. Most complaints can be resolved successfully within the organization, without the need for further time-consuming and more adversarial procedures.

NOTE 1 Organizations are encouraged to develop an effective and efficient internal complaints-handling process consistent with [ISO 10002](#).

There are different methods for resolving disputes and different terms used to describe them. These methods are facilitative, advisory or determinative (see [Annex A](#)). Each method can be used by itself or the methods can be used in sequence.

This document can be used to:

- a) design a dispute-resolution process and decide when to offer dispute resolution to complainants;
- b) select a dispute-resolution provider (hereinafter referred to as “provider”; see [3.9](#)) that is able to meet an organization’s specific needs and expectations.

NOTE 2 Providers from the public and private sectors can take various forms around the world, including industry-sector specific associations, ombudsmen and multi-sector associations.

While this document is directed towards organizations, providers can also benefit from knowing what guidance is being given to organizations. Providers can also use the guidance in their dispute-resolution process.

Organizations are encouraged to plan, design, develop, operate, maintain and improve a dispute-resolution process in conjunction with a customer satisfaction code of conduct and internal complaints-handling process, and to integrate them with the organization’s quality or other management systems.

This document can assist individuals and organizations in evaluating the effectiveness, efficiency and fairness of an organization’s dispute-resolution process. Implementation of this document can:

- provide flexible dispute resolution that, in comparison with court-based processes, can be less expensive, easier and quicker, especially in disputes across borders;
- help to enhance customer satisfaction and loyalty;
- provide a benchmark against which individuals and organizations can evaluate claims by organizations and providers that they operate in an effective, efficient and fair manner;
- help to inform potential users of dispute resolution about the conditions of access, cost and the legal consequences;
- enhance the ability of the organization to identify and eliminate causes of disputes;
- improve the way complaints and disputes are handled in the organization;
- provide additional information that can contribute to improvement of the organization’s products, services and processes;
- improve the organization’s reputation or avoid damage to it;
- improve domestic and international competitiveness;
- provide confidence of fair and consistent treatment of disputes throughout the global marketplace.

NOTE 3 External dispute resolution can be the subject of statutory and regulatory requirements.

NOTE 4 The satisfaction of persons or organizations that could or do receive a product or a service from a public or a private organization is the focus of this document.

0.2 Relationship with [ISO 9001](#) and [ISO 9004](#)

This document is compatible with [ISO 9001](#) and [ISO 9004](#) and supports the objectives of these two standards through the effective and efficient application of a dispute-resolution process. This document can also be used independently of [ISO 9001](#) and [ISO 9004](#).

[ISO 9001](#) specifies requirements for a quality management system. The dispute-resolution process described in this document (ISO 10003) can be used as an element of a quality management system.

[ISO 9004](#) provides guidance to achieve sustained success of an organization. The use of this document (ISO 10003) can further enhance performance in resolving disputes with complainants and increase the satisfaction of customers, complainants and other relevant interested parties to facilitate the achievement of sustained success. It can also facilitate the continual improvement of the quality of products, services and processes based on feedback from customers, complainants and other relevant interested parties.

NOTE Apart from customers and complainants, other relevant interested parties can include suppliers, industry associations and their members, consumer organizations, relevant government agencies, personnel, owners and others who are affected by the dispute-resolution process.

0.3 Relationship with [ISO 10001](#), [ISO 10002](#) and [ISO 10004](#)

This document is compatible with [ISO 10001](#), [ISO 10002](#) and [ISO 10004](#). These four documents can be used either independently or in conjunction with each other. When used together, this document, [ISO 10001](#), [ISO 10002](#) and [ISO 10004](#) can be part of a broader and integrated framework for enhanced customer satisfaction through codes of conduct, complaints handling, dispute resolution and monitoring and measurement of customer satisfaction (see [Annex B](#)).

[ISO 10001](#) contains guidance on customer satisfaction codes of conduct for organizations. Such codes, in setting out what customers can expect from the organization and its products and services, can decrease the likelihood of problems arising and can eliminate causes of complaints and disputes. When complaints and disputes do arise, the existence of codes of conduct can assist the parties in understanding customer expectations and the organization's attempts to meet those expectations.

[ISO 10002](#) contains guidance on the internal handling of product- and service-related complaints. This document (ISO 10003) can be used when complaints are not resolved internally.

[ISO 10004](#) contains guidance on establishing effective processes for monitoring and measuring customer satisfaction. Its focus is on customers external to the organization. Guidelines given in [ISO 10004](#) can support the establishment and implementation of a dispute resolution process. For example, the processes described in [ISO 10004](#) can assist the organization in monitoring and measuring customer satisfaction with the dispute resolution process (see [8.3](#)). Likewise, information from a dispute resolution process can be used in monitoring and measuring customer satisfaction. For example, the frequency and nature of disputes can be an indirect indicator of customer satisfaction (see ISO 10004:2018, 7.3.2).

Quality management — Customer satisfaction — Guidelines for dispute resolution external to organizations

1 Scope

This document gives guidelines for an organization to plan, design, develop, operate, maintain and improve an effective and efficient dispute-resolution process for complaints that have not been resolved by the organization.

This document is applicable to:

- complaints relating to the organization's products and services, the complaints-handling process or dispute-resolution process;
- resolution of disputes arising from domestic or cross-border business activities, including those arising from electronic commerce.

This document is intended for use by any organization regardless of its type or size, or the products and services it provides, and deals with:

- guidance on determining when and how organizations can participate in dispute resolution;
- guidance on the selection of providers and use of their services;
- top management involvement in, and commitment to, dispute resolution and deployment of adequate resources within the organization;
- the essentials for fair, suitable, transparent and accessible dispute resolution;
- guidance on management of an organization's participation in dispute resolution;
- monitoring, evaluating and improving the dispute-resolution process.

This document is particularly aimed at dispute resolution between an organization and

- individuals purchasing or using products and services for personal or household purposes, or
- small businesses.

This document does not apply to the resolution of other types of disputes, such as employment disputes. It does not apply to complaints handling within an organization.

2 Normative references

The following documents are referred to in the text in such a way that some or all of their content constitutes requirements of this document. For dated references, only the edition cited applies. For undated references, the latest edition of the referenced document (including any amendments) applies.

ISO 9000:2015, *Quality management systems — Fundamentals and vocabulary*

3 Terms and definitions

For the purposes of this document, the terms and definitions given in [ISO 9000](#) and the following apply.

ISO and IEC maintain terminological databases for use in standardization at the following addresses:

- ISO Online browsing platform: available at <http://www.iso.org/obp>
- IEC Electropedia: available at <http://www.electropedia.org/>

3.1
association

<customer satisfaction> *organization* (3.12) consisting of member organizations or persons

[SOURCE: ISO 9000:2015, 3.2.8]

3.2
complainant

person, *organization* (3.12) or their representative, making a *complaint* (3.3)

Note 1 to entry: In this document, *customers* (3.4) who refer their complaints to a provider in the first instance are also considered to be “complainants”.

[SOURCE: ISO 10001:2018, 3.2, modified — Note 1 to entry has been added.]

3.3
complaint

<customer satisfaction> expression of dissatisfaction made to an *organization* (3.12), related to its product or service, or the complaints-handling process itself, where a response or resolution is explicitly or implicitly expected

Note 1 to entry: Complaints can be made in relation to other processes where the organization interacts with the *customer* (3.4).

Note 2 to entry: Complaints can be made directly or indirectly to the organization.

[SOURCE: ISO 9000:2015, 3.9.3, modified — Notes 1 and 2 to entry have been added.]

3.4
customer

person or *organization* (3.12) that could or does receive a product or a service that is intended for or required by this person or organization

EXAMPLE Consumer, client, end-user, retailer, receiver of product or service from an internal process, beneficiary and purchaser.

Note 1 to entry: A customer can be internal or external to the organization.

[SOURCE: ISO 9000:2015, 3.2.4]

3.5
customer satisfaction

customer's (3.4) perception of the degree to which the customer's expectations have been fulfilled

Note 1 to entry: It can be that the customer's expectation is not known to the *organization* (3.12), or even to the customer in question, until the product or service is delivered. It can be necessary for achieving high customer satisfaction to fulfil an expectation of a customer even if it is neither stated nor generally implied or obligatory.

Note 2 to entry: *Complaints* (3.3) are a common indicator of low customer satisfaction but their absence does not necessarily imply high customer satisfaction.

Note 3 to entry: Even when customer requirements have been agreed with the customer and fulfilled, this does not necessarily ensure high customer satisfaction.

[SOURCE: ISO 9000:2015, 3.9.2]

3.6

customer service

interaction of the *organization* (3.12) with the *customer* (3.4) throughout the life cycle of a product or a service

[SOURCE: ISO 9000:2015, 3.9.4]

3.7

dispute

<customer satisfaction> disagreement, arising from a *complaint* (3.3), submitted to a *DRP-provider* (3.9)

Note 1 to entry: Some *organizations* (3.12) allow their *customers* (3.4) to express their dissatisfaction to a *DRP-provider* in the first instance. In this situation, the expression of dissatisfaction becomes a complaint when sent to the organization for a response, and becomes a dispute if not resolved by the organization without *DRP-provider* intervention. Many organizations prefer their customers to first express any dissatisfaction to the organization before utilizing dispute resolution external to the organization.

[SOURCE: ISO 9000:2015, 3.9.6]

3.8

dispute resolver

<customer satisfaction> individual person assigned by a *DRP-provider* (3.9) to assist the parties in resolving a *dispute* (3.7)

EXAMPLE Staff, volunteer, contract personnel.

[SOURCE: ISO 9000:2015, 3.1.6]

3.9

DRP-provider

dispute resolution process provider

person or *organization* (3.12) that supplies and operates an external *dispute* (3.7) resolution process

Note 1 to entry: Generally, a *DRP-provider* is a legal entity, separate from the organization or person as an individual and the *complainant* (3.2). In this way, the attributes of independence and fairness are emphasized. In some situations, a separate unit is established within the organization to handle unresolved *complaints* (3.3).

Note 2 to entry: The *DRP-provider* contracts with the parties to provide dispute resolution, and is accountable for performance. The *DRP-provider* supplies dispute resolvers. The *DRP-provider* also utilizes support, executive and other managerial staff to supply financial resources, clerical support, scheduling assistance, training, meeting rooms, supervision and similar functions.

Note 3 to entry: *DRP-providers* can take many forms including not-for-profit, for-profit and public entities. An *association* (3.1) can also be a *DRP-provider*.

Note 4 to entry: In this document, instead of the term *DRP-provider*, the term “provider” is used.

[SOURCE: ISO 9000:2015, 3.2.7, modified — Note 4 to entry has been modified.]

3.10

feedback

<customer satisfaction> opinions, comments and expressions of interest in a product, a service or a complaints-handling process

Note 1 to entry: Feedback can be given in relation to other processes where the *organization* (3.12) interacts with the *customer* (3.4).

[SOURCE: ISO 9000:2015, 3.9.1, modified — Note 1 to entry has been added.]

3.11
interested party
stakeholder

person or *organization* (3.12) that can affect, be affected by, or perceive itself to be affected by a decision or activity

EXAMPLE *Customers* (3.4), owners, people in an organization, providers, bankers, regulators, unions, partners or society that can include competitors or opposing pressure groups.

[SOURCE: ISO 9000:2015, 3.2.3, modified — Note 1 to entry has been deleted.]

3.12
organization
person or group of people that has its own functions with responsibilities, authorities and relationships to achieve its objectives

Note 1 to entry: The concept of organization includes, but is not limited to, sole-trader, company, corporation, firm, enterprise, authority, partnership, *association* (3.1), charity or institution, or part or combination thereof, whether incorporated or not, public or private.

Note 2 to entry: This document pertains to different types of organizations, each with very different roles in the *dispute* (3.7) resolution process. They include organizations that have unresolved *complaints* (3.3), providers of dispute resolution, and associations that provide or sponsor dispute-resolution processes. For convenience, in this document, the term “organization” used alone means the entity against which an unresolved complaint has been made and that is now or can be in the future a party to a dispute. The terms “provider” and “association” are used to describe the other types of organizations.

[SOURCE: ISO 9000:2015, 3.2.1, modified — Note 2 to entry has been replaced.]

4 Guiding principles

4.1 General

Effective and efficient dispute resolution is based on adherence to the guiding principles set out in 4.2 to 4.17.

4.2 Commitment

The organization should be actively committed to defining and implementing a dispute-resolution process.

4.3 Responsiveness

The organization should address the needs and expectations of customers with respect to dispute resolution.

4.4 Information integrity

The organization should ensure that the information about its dispute resolution is accurate and not misleading, and that data collected are relevant, correct, complete, meaningful and useful.

4.5 Accountability

The organization should establish and maintain accountability for, and reporting on, the decisions and actions taken with respect to dispute resolution.

4.6 Consent to participate

Participation of the complainants in dispute resolution offered by the organization should be voluntary. Consent to participate should be based on full knowledge and understanding of the process and possible outcomes. When the customer is an individual purchasing or using products and services for personal or household purposes, consent to participate should not be a required condition for receiving them (see [Annex C](#)).

NOTE 1 Consent to participate in dispute resolution can be a required condition in business-to-business contracts.

NOTE 2 Consent to participate can be subject to different statutory and regulatory requirements in different parts of the world.

4.7 Accessibility

A dispute-resolution process should be easy to find and use (see [Annex D](#)).

4.8 Suitability

The type of dispute-resolution method offered to parties to a dispute (see [Annex A](#)) and the potential remedies available to a complainant should be suitable to the nature of the dispute (see [Annex E](#)).

4.9 Fairness

The organization should engage in dispute resolution with the intent of fairly and honestly resolving the dispute with the complainant. The organization should select a provider whose dispute-resolution personnel and dispute resolvers engaged in dispute resolution are impartial and objective, so that processes, recommendations and determinative decisions are fair to both parties and are recognized as being made independently (see [Annex F](#)).

4.10 Competence

Organization personnel, providers and dispute resolvers should have the personal attributes, skills, training, education and experience necessary to fulfil their responsibilities related to dispute resolution (see [Annex G](#)).

4.11 Timeliness

Dispute resolution should be delivered as expeditiously as feasible given the nature of the dispute and of the process used (see [Annex H](#)).

4.12 Confidentiality

Personally identifiable information should be kept confidential and protected, unless disclosure is required by law or consent for disclosure is obtained from the person concerned. Similarly, trade secrets should be kept confidential and protected, unless disclosure is required by law or consent for disclosure is obtained from the party that has the trade secret.

NOTE 1 Personally identifiable information is information that when associated with an individual can be used to identify him or her, and is retrievable by the individual's name, address, email address, telephone number or similarly specific identifier. The precise meaning of the term differs around the world.

NOTE 2 This principle can be applied through a policy governing the use and disclosure of information obtained during a dispute, and providing notice of that policy to the parties to the dispute.

NOTE 3 To encourage the voluntary participation of organizations in dispute resolution, it is sometimes necessary to protect the identity of the organization, unless disclosure is required by law.

4.13 Transparency

Adequate information about the dispute-resolution process, the provider and its performance should be disclosed to complainants, organizations and the public (see [Annex I](#)).

NOTE Transparency refers to information about the dispute-resolution process, the provider and its performance, as opposed to personal information about the complainant and trade secrets of the organization.

4.14 Agreement

A dispute-resolution process should be operated with the agreement of the parties.

4.15 Capacity

Sufficient resources should be made available for and committed to dispute resolution, and should be managed effectively and efficiently.

4.16 Improvement

Increased effectiveness and efficiency of the dispute-resolution process should be a permanent objective.

4.17 Customer-focused approach

The organization should adopt a customer-focused approach with respect to dispute resolution and should be open to feedback.

5 Dispute-resolution framework

5.1 Context of the organization

In planning, designing, developing, operating, maintaining and improving the dispute-resolution process, the organization should consider its context by:

- identifying and addressing external and internal issues that are relevant to the organization’s purpose and that affect its ability to achieve dispute-resolution objectives;
- identifying the interested parties that are relevant to the dispute-resolution process, and addressing the relevant needs and expectations of these interested parties;
- identifying the scope of the dispute-resolution process, including its boundaries and applicability, and taking into account the external and internal issues and the needs of interested parties noted above.

5.2 Commitment

Top management should demonstrate leadership in, and the organization should be committed to, an effective and efficient dispute-resolution process that conforms to the organization’s dispute-resolution policy (see [5.3](#)). It is particularly important that top management demonstrates and promotes this commitment. A strong leadership and an unambiguous commitment to dispute resolution can be useful supplements to the organization’s internal complaint handling process, and can allow both personnel and complainants to contribute to the improvement of the organization’s products, services and processes. This leadership and commitment should be reflected in the establishment and dissemination of policy and procedures for the resolution of disputes, and by the provision of adequate resources, including training.

The organization should also be committed to selecting effective and efficient providers that can deliver dispute resolution consistent with the organization's objectives and process design (see [Annex J](#)).

NOTE When the provider is an association, it is advisable that it evaluates its own experience and capacity in the same way the organization would evaluate potential providers.

5.3 Dispute-resolution policy

5.3.1 Policy establishment

Top management should establish a dispute-resolution policy that is clear and unambiguous. That policy should describe under which circumstances the organization will inform customers about the dispute-resolution process and offer dispute resolution to complainants (see [Annex K](#)). The organization should also determine whether it will require complainants to use the internal complaints-handling process before initiating a dispute-resolution process. The policy should be made available to all personnel, complainants, customers and other relevant interested parties. The policy should be supported by procedures and objectives for each function and personnel role included in the process.

NOTE The organization can agree to offer dispute resolution in advance of a dispute arising, or on a case-by-case basis after a dispute has arisen, under criteria set by the organization. The organization can make such a commitment for all cases or only for certain categories of cases. Advance commitments can be made in different ways, such as the commitment in warranties or a customer contract (see [Annex C](#)), in advertised "pledges", or agreements with a provider.

In setting the dispute-resolution policy, the organization should consider:

- identification of any applicable statutory and regulatory requirements;
- financial, operational and organizational needs;
- the policy's estimated impact on customer satisfaction;
- the competitive environment;
- the input of complainants, customers, personnel and other relevant interested parties;
- quality management processes, customer satisfaction codes of conduct and complaints-handling processes in the organization;
- alternatives for resolving disputes, such as the courts.

5.3.2 Policy review

The policy should be reviewed at regular intervals and updated as necessary.

5.3.3 Policy consistency

The policies related to quality, complaints handling and dispute resolution should be consistent.

5.4 Top management responsibilities

Top management should ensure that:

- dispute-resolution policy is communicated within the organization and objectives are established at relevant functions, levels and processes;
- the dispute-resolution process is planned, designed, developed, operated, maintained and improved in accordance with these objectives;
- personnel understand the relationship of the dispute-resolution process to the organization's overall customer satisfaction efforts;

- the organization determines and allocates the resources needed for an effective, fair, lawful and efficient dispute-resolution process, including appropriate training;
- the dispute-resolution process is promoted and communicated to all appropriate personnel in the organization, and to customers and complainants (see [4.7](#), [4.13](#), and [Annexes D](#) and [I](#));
- responsibility and authority for dispute resolution are clearly defined throughout the organization;
- notification is given rapidly and effectively of any significant complaints about the dispute-resolution process, the organization’s representatives in the dispute-resolution process, the provider or any outcome.

6 Planning, design and development

6.1 General

The organization should plan, design and develop an effective and efficient dispute-resolution process. This includes the creation of necessary procedures for the dispute-resolution process. The organization should understand the expectations and perceptions of customers and other relevant interested parties related to dispute resolution. When establishing and using a dispute resolution process, the organization should consider and address risks and opportunities that can arise. This involves:

- monitoring and evaluating processes and external and internal issues concerning risks and opportunities;
- identifying and assessing specific risks and opportunities;
- planning, designing, developing, implementing and reviewing corrective actions and improvements pertaining to identified and assessed risks and opportunities.

As defined in ISO 9000:2015, 3.7.9, risk is the effect of uncertainty, which can be negative or positive. In the context of dispute resolution, an example of a negative effect is customer dissatisfaction resulting from a lack of information provided regarding the dispute-resolution process, and an example of a positive effect is that the organization reconsiders the resources associated with dispute resolution as a result of a review of the dispute-resolution process. These risks can be addressed by reviewing the allocation and deployment of resources leading to the improved customer awareness of the dispute resolution process or additional training of personnel to manage an expanded scope of the disputes referred to the dispute-resolution process.

An opportunity is related to identification of a new possible way of realizing positive outcomes, which does not necessarily arise from the organization’s existing risks. For example, the organization can identify a new product, service or process as a result of a customer suggestion provided in the course of dispute resolution.

6.2 Objectives

The organization should determine the objectives to be achieved by dispute resolution. These objectives should be consistent with the dispute-resolution policy (see [5.3](#)), and their fulfilment should be measurable using suitable performance indicators. These objectives should be reviewed at regular intervals and updated as necessary.

6.3 Activities

6.3.1 Diagnosis

The organization should evaluate its current efforts to resolve complaints and disputes, in order to determine whether additional resources or changes are needed. Such evaluation can consider:

- the nature and frequency of complaints and disputes;

- how disputes are currently dealt with;
- ways in which the organization is successful and not successful in dealing with disputes;
- the costs and benefits of success and failure in resolving disputes;
- the costs and benefits of adopting an external dispute-resolution process.

6.3.2 Design

The organization should design the dispute-resolution process based on the analysis of its complaint handling and dispute-resolution activities, resources and dispute-resolution policy. The dispute-resolution process can be linked to, and should be consistent with, other processes of the quality management system of the organization. The design should take into account the best practices of other organizations with regard to dispute resolution, and should involve any providers that it expects to engage in dispute resolution (see [Annex L](#)).

Factors to be taken into account include:

- the principles described in [Clause 4](#);
- the types of disputes to be resolved (e.g. which categories of customers and complainants, or which products and services);
- possible remedies that will be considered;
- types of dispute-resolution methods to be offered (facilitative, advisory and/or determinative);
- whether the organization will make an advance commitment to participating in dispute resolution, or make its decisions on a case-by-case basis;
- risks and opportunities related to the selection and engagement of providers and resolvers;
- qualifications of dispute resolvers;
- fees, if any, to be charged to complainants (see [Annex D](#));
- how the parties will participate (e.g. in person, written submission, telephone and/or internet);
- the criteria against which the dispute will be evaluated (statutory and regulatory requirements, codes of conduct and/or fairness or equity).

NOTE Associations also design dispute-resolution processes for members and others.

6.3.3 Testing

The organization should consider testing the design features of the dispute-resolution process with a subset of complainants before application to the full range of complainants. Testing can be done in a limited geographic area and/or with more than one provider. The results of any testing should be analysed with a view to making improvements to the design features, so that the organization's policy and objectives can best be accomplished.

6.4 Resources

The organization should acquire and deploy resources such as personnel, information, materials, funding and infrastructure, so that the organization can effectively and efficiently:

- select an appropriate provider;
- contribute to the proper functioning of the provider;
- participate in the dispute-resolution process;

- evaluate the performance of the provider, its resolvers and the dispute-resolution process.

7 Operation

7.1 General

The organization should apply its procedures for dispute resolution in a fair, efficient and effective manner. Where necessary, the provider and organization should adjust their operational procedures to ensure coordination with respect to dispute initiation, dispute tracking, dispute acknowledgement, initial dispute assessment, dispute resolution (including procedures for gathering relevant evidence), implementation of the resolution and follow-up. A flowchart showing the various steps of dispute resolution is provided in [Annex M](#).

7.2 Complaint referral

The organization should apply the procedure for referring unresolved complaints to the provider. The organization can refer complaints that have been handled and not resolved internally by the organization. Referrals can also be made in situations where complainants inform the organization that they want their complaint to be handled initially by the provider rather than by the organization, and the organization's dispute-resolution policy allows such referrals. The organization should evaluate the complaint against the criteria specified by the organization in its agreement with the provider or in a customer contract. It should refer the complaint to the provider if the complaint meets the criteria. If not, the organization should close the complaint using appropriate closing procedures. The organization should also ensure that it keeps track of all the complaints it refers to the provider, so that all of the complaints are addressed.

7.3 Receipt of dispute notice

When dispute resolution has been initiated, the organization should inform the appropriate personnel. In addition to the individuals responsible for dispute resolution, others who can be informed include those with specific responsibilities for quality assurance, complaints handling, customer service and legal matters.

7.4 Formulation of the organization's response

7.4.1 Evaluation of dispute

The organization should take the necessary steps to evaluate the dispute. These can include:

- obtaining records of the transaction or process that gave rise to the dispute, including sales records or advertising copy (as appropriate), inspection or repair records, any resulting complaints-handling records, and information regarding other complaints (if any) filed by the complainant;
- consulting with technical, legal, sales, marketing, complaints-handling and other personnel working on behalf of the organization, as appropriate to the dispute.

The organization should keep transaction, complaint and related records in easily convertible formats, so that the records can be handed over to the provider, dispute resolver and/or other party in an appropriate format.

7.4.2 Development of initial position

After collecting relevant records and needed input, the organization should develop its initial position in the matter with respect to its potential liability and the remedies, if any, it is willing to provide to the complainant. Consistent with the dispute-resolution procedures, the organization should communicate

its position to the provider, or directly to the complainant (with a copy to the provider). The initial position can be to

- resolve the matter as requested by the complainant,
- provide some but not all of the remedies requested, or
- provide none of the remedies requested.

NOTE In dispute resolution, it is not unusual for an organization to decide to offer a complainant one or more remedies that the organization does not believe are required by law, codes of conduct or other bases. The organization can do this as a goodwill gesture, as part of a customer satisfaction policy, or in recognition of the possibility that the dispute resolver, an association administering a code of conduct or a court can view the situation differently.

7.5 Resolution of dispute

7.5.1 Facilitative method

In the facilitative method (see [Annex A](#)), after the organization communicates its initial position, the organization should be prepared to receive an offer or counter-offer to settle the matter. The organization can receive such offers either directly from the complainant or through the efforts of the dispute resolver. If the organization receives a proposal for settlement, it should inform appropriate personnel of the complainant's position (see [7.3](#)). The organization can conduct additional evaluation and obtain additional input (see [7.4](#)) regarding the proposed settlement. The organization should decide whether to accept the proposed settlement, to reject it or to make a counter-offer. The organization should inform the complainant and/or the dispute resolver in a manner that is consistent with the provider's procedures. If accepted, the organization should refer the matter to appropriate personnel, such as a legal advisor and those involved with carrying out the resolution (see [7.6](#)).

If a resolution is not agreed upon at this stage, the organization should determine what further dispute-resolution methods, if any, are appropriate and applicable to the dispute, and inform the provider of its understanding in this respect.

7.5.2 Advisory and determinative methods

If an advisory or determinative method (see [Annex A](#)) is to be used, the organization should schedule and prepare for its participation in the process in an effective and efficient manner. Examples of steps it should take include:

- assigning a case administrator;
- determining the preferred manner of participation consistent with the dispute-resolution procedures (e.g. in person, by telephone, by written material);
- conducting further investigation, if needed;
- compiling and organizing the evidence;
- identifying potential witnesses and documentary evidence;
- identifying a range of resolutions to the dispute that are acceptable to the organization;
- determining who has settlement authority in the matter;
- developing an oral and/or written presentation, as appropriate;
- assessing the potential for reaching a settlement before the process concludes;
- participating in the process.

7.5.3 Settlement

If the process results in a settlement, the organization should refer the matter to appropriate personnel, such as a legal advisor and those involved with carrying out the resolution (see [7.6](#)).

7.5.4 Acceptance of recommendation

If the process concludes with a recommendation (see [Annex A](#)), the organization should give serious consideration to the recommendation and determine whether to accept it. The organization's acceptance or rejection should be communicated to the provider and complainant in accordance with the dispute-resolution procedures and relevant codes of conduct. If accepted by the organization and complainant, the matter should be referred for implementation (see [7.6](#)). If rejected, the organization should communicate its reasons for rejection to the provider and complainant.

7.5.5 Review of determinative decision

If the process concludes with a determinative decision, the organization should decide whether to seek a review of the decision if such a review is available under the dispute-resolution procedures or applicable law. The purpose of this review is to evaluate whether the relevant dispute-resolution principles (see [Clause 4](#)) and procedures were followed correctly. If there is no review available, or if the organization decides not to seek such a review, the decision should be referred to appropriate personnel within the organization to ensure that the resolution is carried out (see [7.6](#)).

7.6 Implementation of resolution

After the dispute is resolved, the organization should take whatever steps are necessary to carry out the resolution in a manner that is consistent with the settlement, recommendation or determinative decision. These steps should include:

- determining if any specific actions are required for implementation of the resolution by the organization (e.g. the payment of a refund or other amount, repair of the product, provision of a service, or taking other specific action that has been ordered or agreed upon);

NOTE 1 There can be specific actions the complainant needs to take for the settlement, recommendation or determinative decision to be implemented (e.g. returning the product as a condition of a refund, bringing the product to a repair facility designated by the organization, or providing evidence of any loss or harm incurred due to the service failure).

- assigning responsibilities for such actions to appropriate personnel within and outside the organization (e.g. customer relations, financial officer, distributors, franchisees, sales and manufacturing) and informing this personnel of applicable deadlines or expected implementation time frames, as appropriate;
- coordinating the implementation of the resolution among responsible personnel, the complainant and others, and monitoring the progress of implementation of the resolution by each;
- confirming necessary actions have been completed;
- notifying the provider when implementation of the resolution has been completed or, if implementation is delayed, with reasons for such delay;
- determining the complainant's satisfaction with implementation of the resolution and closing the dispute if the complainant is satisfied, and determining what, if any, additional action is needed if the complainant is not satisfied with implementation of the resolution.

NOTE 2 Additional action can include further steps to ensure implementation of the resolution, or a resumption of the dispute-resolution process.

7.7 Closing the file

When the resolution of the dispute has been satisfactorily implemented, or if the process concludes without redress, the organization may close its file on the dispute and inform appropriate personnel within and outside the organization. Records of the dispute should be maintained consistent with the organization's record retention policy.

8 Maintenance and improvement

8.1 Monitoring

The organization should collect and record information on the nature, progress and results of all disputes. The organization can maintain its own dispute-resolution data or use data obtained from the provider. Information collected should be relevant, correct, complete, meaningful and useful.

8.2 Analysis and evaluation

The organization should regularly analyse the dispute-resolution information that it collects or obtains to identify systemic and unique problems, trends and opportunities for improvement or changes in the organization's products, services, customer satisfaction efforts, complaints-handling and dispute-resolution procedures, representation in dispute resolution, and provider selection.

8.3 Evaluation of the satisfaction with the dispute-resolution process

There should be regular action taken to determine the levels of satisfaction of complainants with the dispute-resolution process. This can take the form of random surveys of complainants and other techniques.

NOTE See [ISO 10004](#) for guidance on monitoring and measuring customer satisfaction.

8.4 Management review

8.4.1 General

Top management should regularly review the organization's dispute-resolution process to:

- maintain the suitability, adequacy, effectiveness and efficiency of the dispute-resolution process;
- deal with instances of serious non-compliance with settlements, recommendations and determinative decisions made in dispute resolution;
- identify and correct deficiencies in the organization's representation in the dispute-resolution process;
- assess risks and opportunities and the need for changes to the dispute-resolution process, and to the organization's products, services, processes, and customer satisfaction efforts;
- evaluate the effectiveness of the actions taken in relation to risks and opportunities.

8.4.2 Input

Management reviews should consider information related to dispute resolution on:

- external factors, e.g. changes in statutory and regulatory requirements, practices of competitors or technological innovations;
- internal factors, e.g. changes in policy, objectives, organizational structure, available resources, processes and products and services offered;
- the overall performance of the dispute-resolution process;

- feedback on the dispute-resolution process;
- results of assessments of the provider's methods;
- risks and opportunities, including the related actions;
- effectiveness of the actions taken to address risks and opportunities;
- status of corrective actions;
- actions decided at previous reviews.

NOTE The information on the overall performance of the dispute-resolution process could include effectiveness, efficiency, customer confidence in the organization, customer satisfaction, percentage of complaints resolved, costs (including in comparison to potential court costs), and the results of the continual evaluation of the provider.

8.4.3 Output

The output from management reviews should include decisions on such matters as:

- improvements in the effectiveness and efficiency of the dispute-resolution, complaints-handling and other processes, and in products and services;
- competence, performance and suitability of the current dispute-resolution provider;
- dealing with identified organizational needs and deficiencies (e.g. training programmes) related to dispute resolution.

Records of management reviews should be established and maintained.

8.5 Continual improvement

The organization should continually improve the effectiveness and efficiency of the dispute-resolution process. This can be achieved through corrective actions, actions taken in relation to risks and opportunities, and innovative improvements.

The organization should take action to eliminate the causes of existing and potential problems leading to complaints, in order to prevent recurrence and occurrence, respectively.

The organization should:

- explore, identify and apply best practices in the dispute-resolution process;
- foster a customer-focused approach within the organization;
- encourage innovation in the development of dispute resolution;
- inform those responsible for developing the dispute-resolution process of any problems in the process;
- recognize instances where dispute resolution was provided in an exemplary manner.

Annex A (informative)

Guidance on dispute-resolution methods

A.1 General

The terminology used to describe the different types of dispute-resolution methods varies throughout the world. The same term is sometimes used to describe a particular method in one country, and to describe a different method in another country. To avoid terms that are used inconsistently, this document uses the function-based terms “facilitative”, “advisory” and “determinative” to describe the various methods. This annex provides guidance on important characteristics of the different methods, and identifies different terminology used around the world to describe those methods.

NOTE National standards bodies can supplement this annex with one containing terminology used in the nation concerned.

A.2 Facilitative method

A facilitative method is one in which the parties receive assistance in reaching an agreement on the resolution of the dispute. In general, no particular outcome is recommended by the dispute resolver. No determination of an outcome is made. Facilitative methods can range from passive to active.

The more passive method is one in which assistance from the provider’s personnel is limited to helping the parties in their communications. Such assistance can involve the use of a provider’s software technology, such as an online dispute-resolution platform that is internet-based. In a passive method, the provider’s personnel or technology only transmits the parties’ positions and proposed solutions and incorporates and records any agreement, which can then be enforceable as a contract. Such facilitation is often called *conciliation* or *assisted negotiation*. In some parts of the world, however, the more passive method is called *mediation*.

The more active method entails the active participation of a dispute resolver intended to assist the parties to identify the issues, to generate options, to consider alternatives and to endeavour to reach an agreement, which can be enforceable as a contract. This more active facilitative method is often called *mediation*. In some parts of the world, however, the more active method is called *conciliation*.

The dispute resolver using an active facilitative method is sometimes called a *facilitator*, *conciliator*, *mediator* or *neutral*.

A.3 Advisory method

An advisory method is one in which the parties are given suggestions on how factual, legal and other issues should be resolved, on possible outcomes and how they can be achieved and, in some cases, recommendations.

This type of method is sometimes called *non-binding arbitration*, *evaluation* or *mini-trial*. Adherence by an organization to the recommendation of an advisory process, even though not legally binding, is sometimes taken into account in determining whether a code of conduct to which the organization has committed has been satisfied (see [ISO 10001](#)).

The dispute resolver using an advisory method can be called an *adviser*, *arbitrator*, *panel*, *evaluator*, *neutral* or *ombudsman*.

A.4 Determinative method

A determinative method is one in which the dispute is evaluated, factual issues are resolved and sometimes documented, and a decision is given on how the dispute should be resolved.

This method is legally binding on the parties and enforceable in court

- a) in the absence of further action by either party, or
- b) if accepted within a certain period of time, by the complainant, or
- c) if not rejected within a certain period of time, by either party.

NOTE 1 The situation described in bullet a) is typically referred to as (binding) *arbitration* or *evaluation*; the situations described in bullets b) and c) are sometimes referred to as *conditionally binding arbitration* or *evaluation*.

NOTE 2 As indicated elsewhere, in some parts of the world it is not permitted to bind some complainants legally.

The dispute resolver using a determinative method can be called an *adviser, arbitrator, panel, evaluator, neutral* or *ombudsman*.

NOTE 3 In some parts of the world, the same dispute resolver can conduct more than one method of dispute resolution in the same dispute, e.g. a facilitator can move from active facilitation to providing advice (at that time becoming an adviser) if the complainant has not been satisfied in the facilitative process. Similarly, a facilitator can render a decision if the facilitative process has not resolved the case. In other parts of the world, statutory or regulatory requirements do not allow the dispute resolver to conduct more than one type of dispute-resolution process in the same dispute.

Annex B **(informative)**

Interrelationship of ISO 10001, ISO 10002, this document and ISO 10004

[Figure B.1](#) illustrates the organization's processes related to code of conduct, complaint handling, external dispute resolution, and customer satisfaction monitoring and measuring.

NOTE A complaint can be initiated by a customer or another complainant.

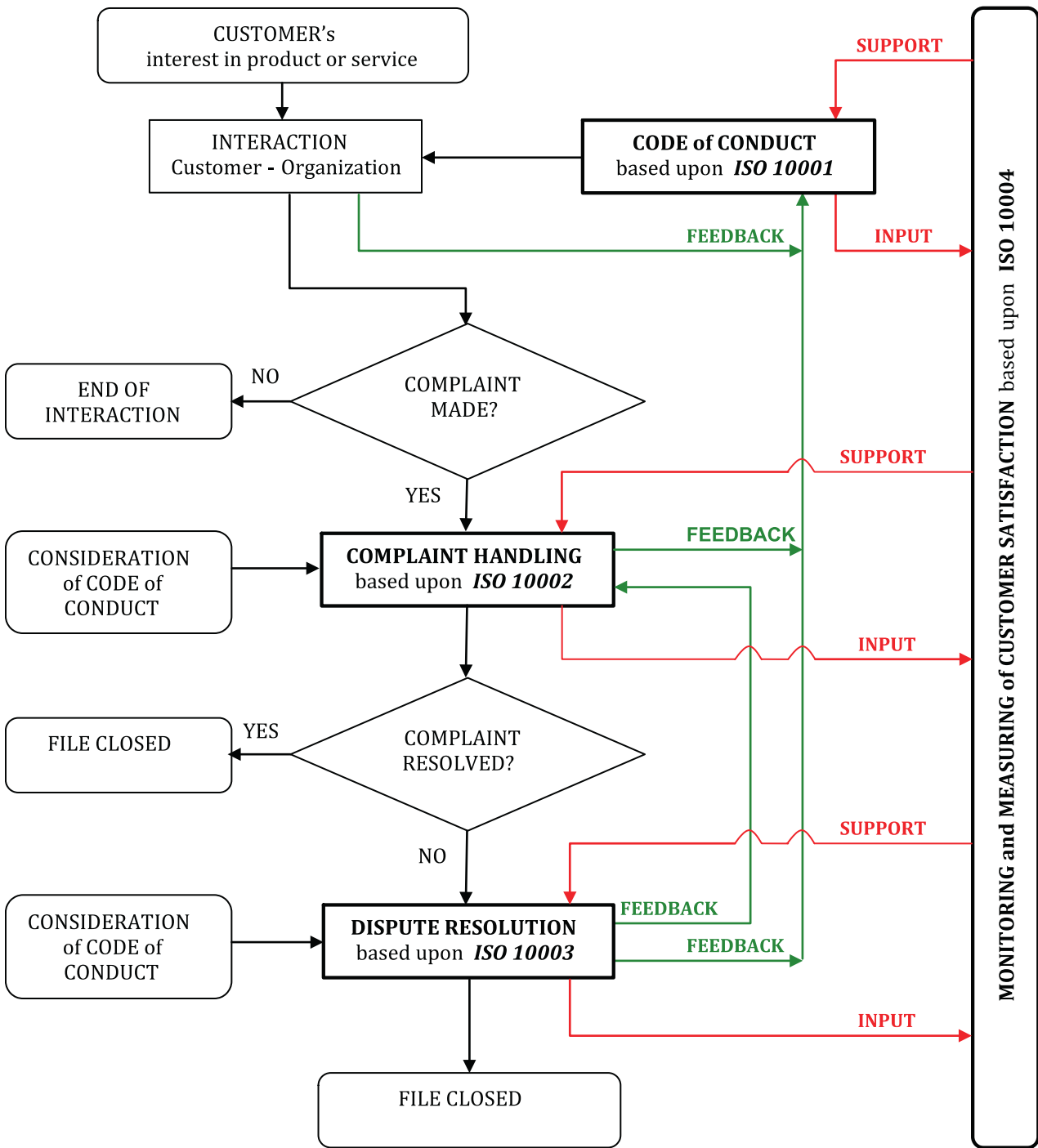


Figure B.1 — Interrelationship of ISO 10001, ISO 10002, this document and ISO 10004

Annex C **(informative)**

Guidance on consent to participate

C.1 General

Participation of complainants in dispute resolution offered by the organization should be voluntary. Consent to participate should be based on full knowledge and understanding of the process and possible outcomes. When the customer is an individual purchasing or using products and services for personal or household purposes, consent to participate should not be a required condition for receiving these products and services.

Voluntary consent to participate is based on both the parties' full knowledge and understanding of the process and possible outcomes.

There are two significant issues regarding consent to participate:

- what information should be provided to the customer and complainant so that consent to participate is based on full knowledge and understanding (see [C.2](#));
- when is it appropriate to obtain consent to participate (see [C.3](#) regarding consent to participate before the dispute arises; see [C.4](#) regarding consent to participate after the dispute has arisen).

C.2 Information prior to consent to participate

Information about dispute resolution provided to customers and complainants prior to consent to participate should include:

- the method(s) of dispute resolution used;
- the scope of authority of the provider;
- the fees, if any, complainants will have to pay;
- possible types of remedies, maximum compensation that can be awarded and possible reimbursement for expenses that have been incurred in dispute resolution;
- the criteria against which the dispute will be evaluated (e.g. codes of conduct, legal principles, equity);
- significant differences from court procedures;
- a statement of the precise dispute or type(s) of dispute to which the consent to participate applies;
- the name of the provider, how to access the process and how to obtain a copy of the applicable dispute-resolution procedures;
- expected time frames for the completion of each different method;
- whether the complainant will be giving up the right to go to court if not satisfied with the determinative decision.

NOTE In some parts of the world, asking the complainant to give up the right to go to court is not lawful.

C.3 Consent to participate prior to the dispute arising

A condition in a sales contract sometimes requires a customer to use binding dispute resolution and to give up his right to use the courts. This is frequently included in contracts between organizations. In some parts of the world, this type of contract is unlawful, where the customer purchases products and services for personal or household purposes.

Organizations wishing to enhance customer satisfaction can consider other dispute-resolution techniques that can achieve many of the benefits of pre-dispute clauses, but which do not require the parties to give up their right to use the court system. These other techniques include:

- facilitative methods that aim to achieve voluntary resolution by the parties;
- methods that result in recommendations that become binding if both parties agree;
- determinative methods that are binding only when the complainant accepts the decision;
- agreements to participate in dispute resolution made *after* the dispute arises.

C.4 Consent to participate after the dispute arises

Where consent to participate in determinative dispute resolution is obtained after a dispute arises, the parties should sign an agreement to participate, which should contain a description of the dispute to be submitted to the dispute-resolution process, the name of the provider and how to obtain a copy of the applicable dispute-resolution procedures, and the scope of the dispute resolver’s authority.

Annex D **(informative)**

Guidance on accessibility

D.1 General

A dispute-resolution process should be easy to find and use.

Accessibility to dispute resolution depends on effective communications and promotion regarding the availability of the process, affordable costs for using the process, and absence of barriers to invoking and participating in the process.

[D.2](#) to [D.7](#) give examples of different ways of making the dispute-resolution process reasonably accessible.

D.2 Communication

The availability of dispute resolution should be communicated widely to complainants, other customers and other relevant interested parties.

Information and assistance should be made available in whatever languages or formats are used in the information pertaining to the products and services when offered or delivered. Information should be written in clear and unambiguous language, and it should be available in alternative formats, such as audio, large print, large raised letters, Braille, by email or on an accessible website.

NOTE An alternative format describes a different presentation or representation intended to make information accessible through a different modality or sensory ability. By providing all input and all output (i.e. information and functions) in at least one alternative format (e.g. visual and tactile), more people, including some with language/literacy problems, can be helped. Presentation factors that can affect legibility and ease of understanding include:

- layout;
- print colour and contrast;
- size and style of font and symbols;
- the choice and use of multiple languages.

Instructions for use of products by consumers is given in ISO/IEC Guide 37.

Communications can be made by the organization at various times, such as at the point of sale and at the time a complaint is filed with the organization. As a minimum, the organization should communicate at the end of unsuccessful internal complaint handling processes.

These communications are most effective if placed in multiple locations, such as in customer satisfaction codes of conduct, on store displays, websites, complaint forms, sales contracts and documents ending an internal complaint handling process.

D.3 Fees

Providing dispute resolution to customers at no cost, or at a cost that is reasonable given the value of the dispute, should result in an affordable process.

D.4 Invoking process and participation

Unsatisfied complainants should be given an opportunity to invoke and participate in the dispute-resolution process in as many ways as is reasonably possible.

Telephone, mail, fax or online submissions are all valuable methods that should be considered. The methods selected should be convenient for case filings, accessing case information or obtaining answers to questions. In cross-border dispute resolution and other circumstances where the organization and the complainant reside at great distance from each other, it is especially important that methods of dispute resolution are used that facilitate participation without requiring travel.

D.5 Information

Easy-to-understand and complete forms for initiation of dispute resolution, and other literature that describe the dispute-resolution process and explain how parties can best participate, should be made available.

Information and forms should be provided in the same languages as those used to market the products and services.

D.6 Trained personnel

Trained personnel and other resources to assist all parties with any aspect of the dispute-resolution process, including filing a dispute, presentation of the case and explanation of the scope of the process, should be available.

The assistance provided should also consider the needs of persons with disabilities or other special needs, so that they can participate effectively.

D.7 Informality

The process should be kept as informal as appropriate to the circumstances of the dispute.

Formal rules, as applied in a court of law, need not be followed. The parties should be allowed to present their own positions, arguments and evidence and to hear or see the substantive part of those of the other party, although a dispute resolver can limit the evidence, if it is irrelevant or repetitive.

Parties should be allowed to be represented or assisted by any person of their choice, unless local law would not allow such representation. The provider should confirm that the choice has been made voluntarily. It is also helpful for a represented party to appear personally during the process, as that usually results in the best evidence being presented and ensures that someone with the authority to settle the dispute is available.

Presentations can be made in person, by telephone or other electronic communication, or in writing. The parties should be given flexibility in the manner of their presentation.

Annex E **(informative)**

Guidance on suitability

E.1 General

The type of dispute-resolution method offered to parties to a dispute, and the potential remedies available to a complainant, should be suitable to the nature of the dispute.

E.2 Suitability of methods

Organizations can choose to offer complainants one or more types of dispute-resolution methods, depending on such factors as:

- organizational needs and circumstances;
- customer preferences;
- provider recommendations;
- the likely duration of dispute resolution;
- costs;
- the complexity of the issues;
- the need for confidentiality;
- the desire or need for a continuing relationship between the parties;
- relative bargaining strengths of the parties;
- the need for flexible outcomes;
- the need for a decision or findings on conflicting evidence;
- the need for external enforcement;
- the need for technical or other experts and the importance of legal issues;
- the need for public scrutiny of the outcome.

A provider that offers a facilitative method in accordance with the organization's dispute-resolution policy should generally offer that method as a preferred means of resolving a dispute. Facilitative methods are very often faster, less expensive and less adversarial. If facilitative methods do not resolve the dispute and the organization has chosen to make other dispute-resolution methods available, these other methods should be offered.

E.3 Suitability of remedies

The organization should authorize the provider to award remedies at least sufficient to compensate for the problem that created the complaint. Remedies that should be considered and offered, if appropriate, include:

- repair of a product;

- refund of the cost of a product;
- refund of the cost of a service;
- rescission of the contract of sale;
- a directive to one of the parties to take specific action to rectify the problem.

Additional remedies can be permitted or required by local law, e.g. lawyer's and other representative's fees, related damages and other damages.

Annex F (informative)

Guidance on fairness

The organization should engage in dispute resolution with the intent of fairly and honestly resolving the dispute with the complainant. The organization should select a provider whose dispute-resolution personnel and dispute resolvers engaged in dispute resolution are impartial and objective, so that processes, recommendations and determinative decisions are fair to both parties and are recognized as being made independently.

Dispute resolvers and dispute-resolution personnel should be insulated from influence by parties at all times in the process, so that their efforts to determine eligibility and to reach a resolution of a dispute are the result of independent judgement. Impartiality, objectivity and fairness can be best achieved by a combination of activities.

NOTE 1 In most private sector “business-to-customer” dispute-resolution schemes, funding comes from an association and/or the business party to a particular dispute. This funding can represent all or a substantial part of the cost of the process. In addition, an association providing or endorsing a dispute-resolution process is likely to be governed by members, who can from time to time be parties to dispute resolution under the scheme. This “fairness” principle is intended to ensure that efforts to resolve any dispute are not influenced by these financial or membership relationships.

NOTE 2 The term “dispute-resolution personnel” is used in recognition of the fact that a provider is likely to have executive level personnel *not* engaged in dispute resolution (e.g. the chief executive officer, chief operations officer or chief financial officer), but who negotiate contracts and engage in other relationships with business participants that are unrelated to the handling of any dispute. The fairness and independent judgement requirement is pertinent to the resolution of particular disputes.

Fairness can be best achieved by a combination of activities, such as:

- applying advisory or determinative methods according to published procedures that are made available to the parties prior to initiation of any process; such procedures and their application should provide all parties with full, fair and equivalent opportunities to participate in any methods, and should ensure that any recommendations or decisions are based on the evidence and arguments presented to the dispute resolver;
- adopting conflict of interest policies and ethical codes for personnel and dispute resolvers, and only assigning dispute resolvers to a dispute-resolution process where they can be expected to be objective; a dispute resolver’s personal feelings, opinions or interests should not influence his/her conduct, e.g. if a dispute resolver is employed by one party to a dispute, this can affect the ability of the dispute resolver to maintain objectivity;
- assuring that compensation (if any) of dispute resolvers is not affected by the nature of particular settlements, recommendations, or determinative decisions;
- not relieving dispute resolvers of duties without just cause;
- assigning dispute resolvers in a way that minimizes repeated service with any particular party;
- when a provider is funded in whole or part by an organization that is a party to the dispute, assuring that funding considerations do not influence the resolution of particular disputes;
- disclosing to the parties the identity of the dispute resolver selected to resolve a dispute, along with any relationship the dispute resolver has with either party that can reasonably be perceived as affecting impartiality; the parties should be allowed an opportunity to challenge the selection of any dispute resolver for good cause;

- making available to complainants the services of technical experts (including legal experts), where appropriate and necessary for the fair resolution of the dispute;
- where allowed by local law, providing for compulsion of testimony in an application of a determinative method, when needed for the fair resolution of a dispute;
- clearly communicating to the parties the dispute resolver's scope of authority and assuring that any recommendation or determinative decision is within the scope of that authority;
- disclosing to the parties in advance the criteria used for recommendations or determinative decisions;
- communicating in plain language and in writing the recommendation or decision, and its rationale, to the organization and complainant, with sufficient detail so that it can be effectively implemented;

NOTE 3 When not contrary to applicable law, determinative decisions can be based on legal principles, equity, codes of conduct, or a combination of these.

- where a recommendation for settlement is accepted by the parties, documenting it in writing so that it is enforceable under applicable law;
- determining whether the parties have complied with any settlement or determinative decision.

Annex G **(informative)**

Guidance on competence

G.1 General

Organization personnel, providers and dispute resolvers should have the personal attributes, skills, training and experience necessary to discharge their responsibilities in a satisfactory manner. These should be maintained and improved through means such as additional work experience, continual training including supervision, and periodic re-evaluation.

Competence can be ensured through a number of techniques. These are set out below.

G.2 Qualifications

Qualifications for personnel and dispute resolvers should be established such that they ensure the skill level appropriate to the disputes to be heard by the provider, and they emphasize diligence and honesty as important qualifications.

G.3 Training

Training should be provided to personnel and dispute resolvers in required knowledge and skills, for example:

- any applicable eligibility requirements pertinent to disputes to be heard by the provider;
- the importance of fairness and methods to achieve it;
- the techniques available to assist the parties;
- the policies and procedures applicable to the conduct of each method of dispute resolution in which they will engage;
- any applicable legal principles, codes of conduct or principles of equity that apply in a dispute.

NOTE Depending on the type of disputes to be heard, the bases of recommendations or determinative decisions, and the preferences of the organization, formal legal training and professional licensing of dispute resolvers, is not always necessary, unless required by local law.

G.4 Periodic evaluation

Periodic evaluation of the performance and qualifications of dispute resolvers, and of the criteria established by the provider for dispute resolvers' qualifications, should be undertaken.

NOTE Additional guidance concerning the competence of personnel is provided in [ISO 10015](#).

Annex H
(informative)

Guidance on timeliness

Dispute resolution should be delivered as expeditiously as feasible given the nature of the dispute and the nature of the process used.

In applying this principle, it is helpful to establish expected time frames for the completion of each different method offered, and to communicate them to all relevant parties. Time frames should be sufficiently flexible to take account of the differences in the complexity of disputes and the different needs and expectations of parties in a particular dispute.

Time frames can be affected by applicable legal requirements. The parties and the provider share accountability for compliance with established time frames.

It is also helpful if the progress of the dispute is tracked and the parties are informed of the progress, or such tracking information is made available to the parties and to the dispute resolvers.

Timeliness is also important when the parties are entitled to use judicial procedures or the methods of another provider within a certain time period. If the dispute-resolution process is prolonged, the ability to file a case in court could be impeded. Timeliness can be best achieved when the organization's representative in a dispute-resolution process is either vested with clearly defined authority to settle disputes, or can quickly obtain authorization from others in the organization.

Annex I **(informative)**

Guidance on transparency

I.1 General

Adequate information about the dispute-resolution process, the provider and its performance should be disclosed to complainants, organizations and the public.

Organizations should ensure that this information is made available to all relevant interested parties.

I.2 Information about process, methods and performance

Useful information about the provider's services and performance can include:

- complete contact information for the provider;
- types of disputes handled and types of methods provided;
- the manner in which particular methods of dispute resolution can be initiated, including any fees imposed;
- the manner of participation by the parties (in person or by telephone, by mail or online);
- the manner of qualifying, selecting and challenging the qualifications and impartiality of dispute resolvers;
- bases for deciding disputes (e.g. law, equity, codes of conduct) and available remedies;
- time frames that will be observed;
- identification of the steps leading to the enforcement of a determinative decision or award;
- the policy as to confidentiality;
- whether a provider receives funding from the organization that is a party to a dispute, and what safeguards are in place to ensure that this funding does not affect particular settlements, recommendations or determinative decisions.

I.3 Annual report

Organizations should recognize that publication of a provider's annual report can give a meaningful evaluation of a provider and its performance. The annual report can include:

- the number of disputes received, the number resolved and not resolved in each dispute-resolution method, and the number of recommendations or determinative decisions providing all, some or none of the relief requested;
- the timeliness of case resolutions;
- identification of systemic problems identified through the dispute-resolution process.

Published data should not be identified with a particular organization unless it agrees.

I.4 Publication of individual dispute-resolution results

In appropriate circumstances (e.g. the case volume is low and the educational benefit is high) and while preserving the promised confidentiality, the text of individual dispute-resolution results (recommendations, determinative decisions, settlements or related information) can be published if all parties agree.

Annex J **(informative)**

Guidance on selecting providers

Factors that should be considered by the organization when selecting a provider include:

- whether, in the estimation of the organization, the provider has chosen to use this document or any other relevant dispute-resolution standard;
- the provider's reputation with the organization's customers, consumer and industry associations, the media and consumer protection agencies of government;
- where available, results obtained from independent evaluations, management reviews or customer surveys that can show trends (e.g. in performance);
- recommendations from other organizations that have used a provider's services;
- the extent to which the provider and its methods are consistent with the organization's values;
- the provider's experience, the provider's financial condition, and the likelihood that it can meet its obligations to the organization and the organization's complainants;
- whether the provider's methods can be coordinated with the organization's complaints-handling and other operational processes, including the use of technology for information exchange;
- the extent to which the provider's procedures meet the organization's needs, including how the cases can be presented to the dispute resolver (e.g. orally or in writing);
- the extent to which the dispute-resolution methods offered by the provider facilitate early resolution of disputes;
- direct and indirect costs to the organization and its complainants;
- the extent to which the provider has adequate resources to receive, track and resolve the types and volume of disputes that it has agreed to handle;
- whether the provider employs, or has access to, a sufficient number of adequately trained dispute resolvers and technical experts (including legal experts);
- whether the provider has the means to handle disputes where the organization and complainant reside at great distance from each other, such as in cross-border situations;
- whether the provider has processes in place to monitor, evaluate and continually improve its dispute-resolution services.

Annex K
(informative)

Guidance on dispute-resolution policy

K.1 Making advance commitment

In determining whether to make an advance commitment to dispute resolution, the organization should consider the value of this advance commitment to the organization's overall customer satisfaction efforts, and to other policies and objectives of the organization. The organization should consider factors such as:

- the possible enhancement of the organization's overall reputation;
- identification of any applicable statutory and regulatory requirements or incentives;
- any requirements or incentives to participate in an association's dispute-resolution programme;
- the utility to the organization's quality and improvement processes of the provider's statistical reporting data;
- the possible advantage of an advance commitment in encouraging customer willingness to use the process;
- the typical monetary value of resolutions sought by complainants;
- the opportunity to reduce costs that can otherwise be incurred in litigation;
- the number of complaints that are expected to remain unresolved by the organization's internal complaints-handling process.

K.2 Case-by-case participation

If the organization does not make an advance commitment to dispute resolution, it should disseminate to all employees involved with complaints handling the criteria for determining when it will participate in dispute resolution on a case-by-case basis. Such criteria should consider factors such as:

- the amount in dispute and other relief sought;
- any benefits to avoiding court proceedings, such as reduced costs;
- identification of applicable statutory or regulatory requirements or incentives;
- the potential impact of not resolving the dispute on the organization's relationship with that customer, and on the organization's overall reputation.

Annex L
(informative)

Guidance on elements of design for dispute resolution

There are many designs for dispute resolution, each offering its own advantages and disadvantages. The guiding principles are used in different ways in different designs. These can be established by providers that offer dispute resolution in the marketplace generally, or by providers that are associations or are selected by associations to provide dispute resolution to members and others.

[Table L.1](#) is intended to illustrate different elements of dispute-resolution design and is not intended to be comprehensive.

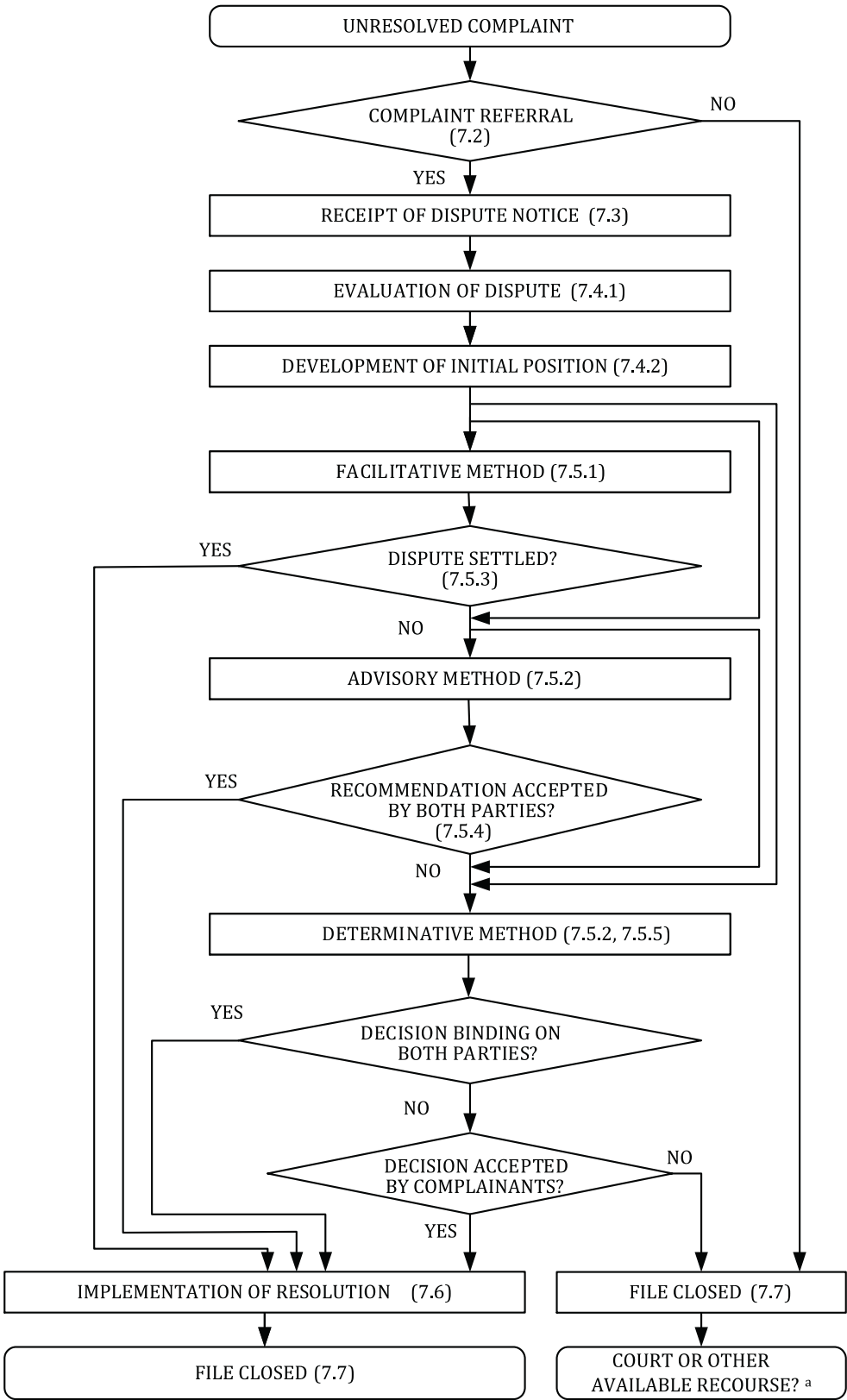
Table L.1 — Guidance on elements of design for dispute resolution

Design elements	Examples
What options are available in terms of the provider’s legal structure?	Industry association; consumer association; non-profit organization; commercial organization; sole proprietor.
What types of disputes will be handled by the provider?	Non-fulfilment of the warranty, lack of timeliness of delivery, untruthfulness of advertising, breach of contract, performance-related liability.
What methods of dispute resolution will be offered?	Facilitative, advisory, and/or determinative (binding or non-binding).
How will dispute resolution be financed?	Fees from one or both parties; association membership dues; government or charitable grants.
What methods of dispute resolution will be used in an individual dispute?	Facilitation only; determinative decision only; facilitation followed by determinative decision, if needed.
What will be the qualifications of dispute resolvers?	Must undergo 40 h of training; must have 10 years of relevant experience; must be lawyers.
How will independence be achieved?	Ethical code; balanced multi-stakeholder governing body; dispute resolvers not employed by the provider; dispute resolvers insulated from other provider personnel.
What criteria will be used for dispute-resolution decisions?	Strict application of legal principles; application of code of conduct; and/or equity.
In what time frames will disputes be resolved?	Decisions in 60 days; facilitation will be attempted for 40 days before decision.
In what form will dispute resolution be accessible?	In person; by telephone; by written submissions; online.

Annex M
(informative)

Dispute-resolution flowchart

[Figure M.1](#) illustrates the various steps of dispute resolution.



NOTE A complainant can exercise his/her rights to go outside the dispute resolution process at any time and at any stage. This can be subject to restrictions depending on the circumstances (e.g. in business-to-business contexts).

Figure M.1 — Dispute-resolution flowchart

Bibliography

- [1] ISO 9001:2015, *Quality management systems — Requirements*
- [2] [ISO 9004](#), *Quality management — Quality of an organization — Guidance to achieve sustained success*
- [3] ISO 10001:2018, *Quality management — Customer satisfaction — Guidelines for codes of conduct for organizations*
- [4] [ISO 10002](#), *Quality management — Customer satisfaction — Guidelines for complaints handling in organizations*
- [5] ISO 10004:2018, *Quality management — Customer satisfaction — Guidelines for monitoring and measuring*
- [6] [ISO 10015](#), *Quality management — Guidelines for training*
- [7] ISO/IEC Guide 37, *Instructions for use of products by consumers*